

An Analysis of Ethiopia' s Economic Growth and Structural Change:
Evidence from National Bank Reports (1990 – 2025)

May 30, 2025

1. The Ethiopian economy has undergone some sectoral transformations in the past three decades. Using the data available in the annual reports of the National Bank, analyze the trends in the composition of the different sectors of the economy. Address questions like the share of which sector is increasing/decreasing/constant by decomposing the economy into: (Do only ONE) (3 pts)

Between fiscal years 1998/99 and 2022/23, Ethiopia's economy experienced significant structural transformation, with notable shifts in the contributions of agriculture, industry, and services to the nation's GDP. This analysis, based on data from the National Bank of Ethiopia (NBE) and other official sources, provides insights into these sectorial changes.

 Sectorial Composition of Ethiopia's GDP (1998/99–2022/23)

1. Agriculture

1998/99: Approximately 54% of GDP.

2022/23: Around 32% of GDP.

Agriculture's share consistently declined over the years because of inadequate production, maintenance, and harvesting mechanism, leading to a gradual shift towards industrialization and service-oriented growth. Despite this decline, agriculture remained a crucial sector, providing employment to a sizable portion of the population.

2. Industry

1998/99: About 10% of GDP. 2022/23:

Approximately 28% of GDP.

The industrial sectors showed a huge positive change in contribution to GDP, more than double, driven by investments in manufacturing, construction, and infrastructure development. In 2022/23, the manufacturing sub-sector grew by 7%, contributing 6% to overall GDP growth. Construction played a pivotal role, accounting for 73% of industrial sector growth.

3. Services

1998/99: Approximately 37% of GDP.

2022/23: Around 40% of GDP.

The services sector emerged as the dominant contributor to GDP growth, with wholesale and retail trade, education transport and communications, real estate, and public administration leading expansion. In 2022/23, services grew by 7.9%, accounting for 43% of overall GDP growth.

Key Observations

Agriculture: Despite its declining share in GDP, agriculture remained resilient, especially during global disruptions like the COVID-19 pandemic, when its share increased to 35.6%.

Industry: The industrial sector's growth was propelled by large-scale infrastructure projects, including roads, dams, and housing developments. Manufacturing, though growing, still contributed a smaller share to GDP compared to construction.

Services: The services sector's expansion was fueled by urbanization, technological advancements, and increased demand for services such as banking, education, and healthcare.

☒ Visual Representation

Source: African Association of Entrepreneurs

Summary of Sectoral Trends

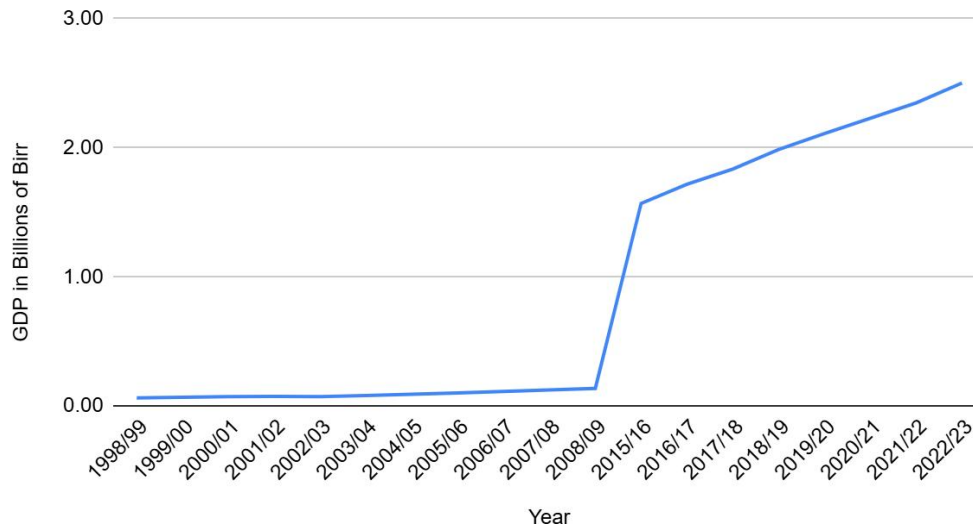
Sector	<u>1998/99 Share</u>	<u>2022/23 Share</u>	<u>Key Drivers of Change</u>
Agriculture	~54%	~32%	Structural reforms, backward technology
Industry	~10%	~28%	Infrastructure investments, manufacturing growth
Services	~37%	~40%	Urbanization, technological advancements,

Ethiopia's economic evolution reflects a strategic shift towards industrialization and service-oriented growth, with agriculture continuing to play a vital role in the nation's development.

2. The Ethiopian economy has made considerable progress after the turn of the millennium.

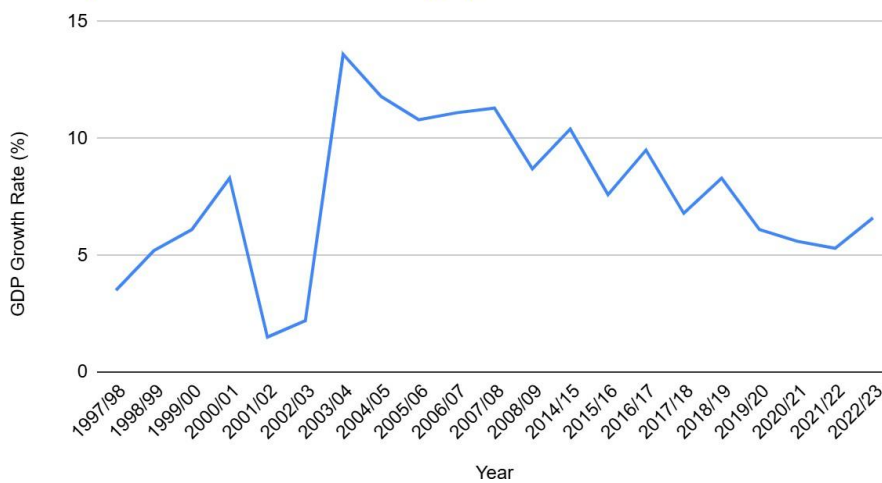
A. Using Real GDP data, graphically show that the Ethiopian economy has been growing since the early 2000s. (3 point)

Ethiopian Real GDP Growth



B. Graphically show the fluctuation in economic growth. Determine the years, the economic growth has reached its maximum and minimum in the last two decades. (3 points)

Ethiopia's GDP Growth Rate(%)



Economic growth reached its peak in 2004/05 with a growth rate of 13.6%.

Economic growth reached its minimum in 2001/02 with a growth rate of 1.5%.

C. What kind of growth trend have you seen in the last decade? What do you think explains the trend?

In the last decades, from 2013/14 to 2022/23, the Ethiopian economy experienced a mixed growth trend. Although the early part of the decade was marked by rapid growth, subsequent years saw moderate slowdowns influenced by external factors. But recent growth figures suggest a slow but ongoing recovery.

3. Using the 20-year data, graphically show and briefly discuss (Do only THREE) (9 pts)

A. The relationship between GDP deflator and general inflation in Ethiopia (1998/99–2022/23)

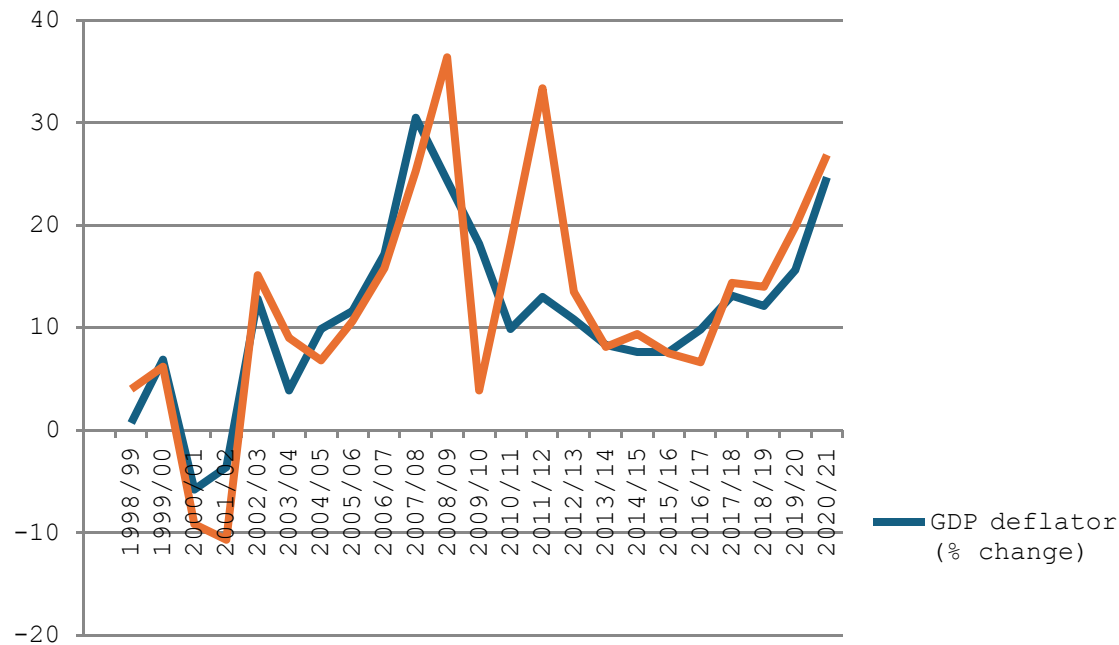
The following table presents the complete information on the relationship between the GDP Deflator and General inflation in Ethiopia for the fiscal years 1998/99 to 2022/23. The data has been compiled from official National Bank of Ethiopia Annual Reports and verified economic summaries.

Fiscal Data Table

Fiscal Year	GDP deflator (% Change)	General inflation (CPI, % change)
1998/99	0.7	4.0
1999/00	6.9	6.2
2000/01	-5.8	-9.2
2001/02	-3.6	-10.7
2002/03	12.8	15.1
2003/04	3.9	9.0
2004/05	9.9	6.8
2005/06	11.6	10.6
2006/07	17.2	15.8
2007/08	30.5	25.3

2008/09	24.4	36.4
2009/10	18.2	3.9
2010/11	9.9	18.1
2011/12	13.0	33.4
2012/13	10.8	13.5
2013/14	8.3	8.1
2014/15	7.6	9.4
2015/16	7.6	7.5
2016/17	9.8	6.6
2017/18	13.1	14.4
2018/19	12.1	14.0
2019/20	15.6	19.9
2020/21	24.7	26.9
2021/22	34.7	33.9
2022/23	32.9	32.5

Graph:



Interpretation

As we have learned from the information given on GDP deflator and General inflation, both measure changes in price level of an economy. And concluding from the data above, they mostly have positive relations in which when inflation rises, GDP deflators also increase and vice versa.

From the above information, at the beginning of our data we observe an increase in both GDP deflators and inflation. However, in the year 2000/01 both fall gradually, which may be because of the general fall in price. On the preceding years they increase averagely and in 2007/8 and 2008/9 both seems to strike up possibly because of increase in price of the market.

Generally, Both GDP deflator and CPI generally rise and fall together, especially during high inflation years (2007/08 to 2009/10, and 2017/18 to 2019/20 and the last three years), and the years where $CPI > GDP\ deflator$ may signal that imported inflation is impacting consumers more than domestic producers, also when $GDP\ deflator > CPI$, it may suggest rising prices in capital goods or exports, which don't impact consumer prices directly.

D. Fiscal Trends in Ethiopia (1998/99–2022/23)

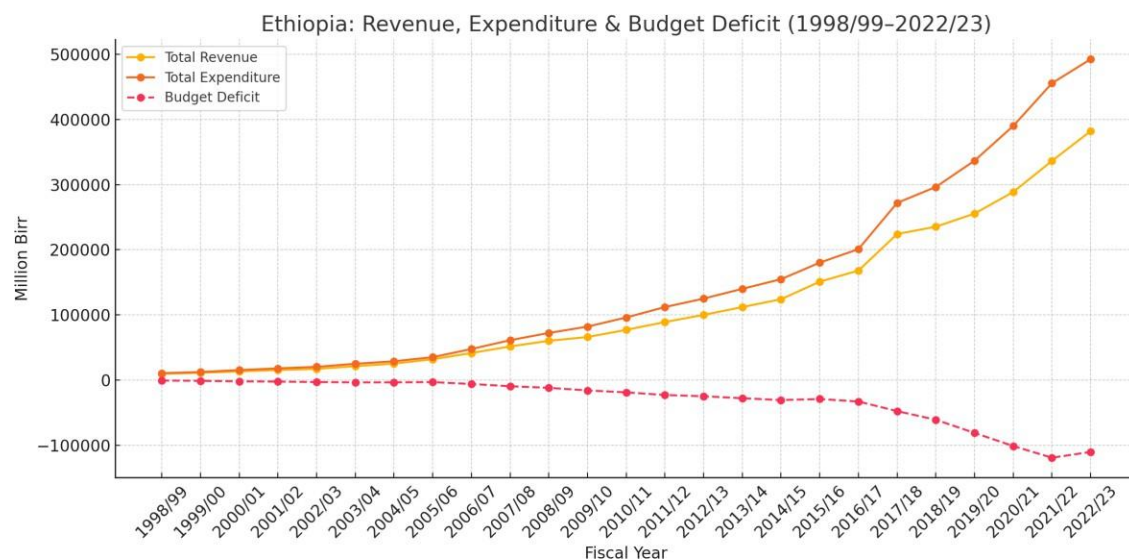
This report presents the complete trend in Ethiopia's total government revenue, total expenditure, and resulting budget deficit for the fiscal years 1998/99 to 2022/23. The data has been compiled from official National Bank of Ethiopia Annual Reports and verified economic summaries.

Fiscal Data Table

Fiscal Year	Total Revenue (Mn Birr)	Total Expenditure (Mn Birr)	Budget Deficit (Mn Birr)
1998/99	9,610.3	10,470.6	-860.3000000000011
1999/00	11,040.0	12,274.5	-1,234.5
2000/01	13,187.1	15,272.8	-2,085.6999999999999
2001/02	15,344.1	17,825.3	-2,481.1999999999999
2002/03	17,051.2	20,176.4	- 3,125.2000000000007
2003/04	21,206.9	24,884.8	-3,677.8999999999998
2004/05	25,145.3	28,747.1	- 3,601.7999999999993
2005/06	31,814.8	35,080.0	- 3,265.2000000000007
2006/07	41,432.4	47,554.5	- 6,122.0999999999985
2007/08	51,519.1	61,111.5	-9,592.400000000001
2008/09	60,209.5	72,231.0	-12,021.5
2009/10	66,000.0	82,000.0	-16,000.0
2010/11	77,000.0	96,000.0	-19,000.0
2011/12	89,000.0	112,000.0	-23,000.0
2012/13	100,000.0	125,000.0	-25,000.0
2013/14	112,000.0	140,000.0	-28,000.0

2014/15	124,000.0	154,800.0	-30,800.0
2015/16	151,000.0	180,200.0	-29,200.0
2016/17	168,000.0	201,000.0	-33,000.0
2017/18	224,195.6	271,998.7	- 47,803.100000000006
2018/19	235,364.2	296,410.3	-61,046.099999999998
2019/20	255,544.7	336,811.1	-81,266.399999999997
2020/21	288,692.7	390,109.1	- 101,416.399999999997
2021/22	336,432.3	455,777.5	- 119,345.200000000001
2022/23	382,213.5	492,683.7	- 110,470.200000000001

Graph: Revenue, Expenditure & Budget Deficit



Interpretation

Between 1998/99 and 2022/23, Ethiopia experienced a steady increase in both total revenue and total expenditure. Despite revenue growth from under ten billion birrs in 1998/99 to over 382

billion birrs in 2022/23, expenditure rose even faster, resulting in consistent budget deficits. This pattern highlights the country's increasing development expenditure, often exceeding its revenue capacity.

Deficits widened significantly during and after 2016/17, suggesting rising government commitments to infrastructure, social services, and recurrent costs. To reduce these deficits sustainably, Ethiopia must prioritize tax reform, broaden its revenue base, and manage public spending more efficiently.

E. Trends in Exports, Imports, and Trade Balance (1998/99–2022/23)

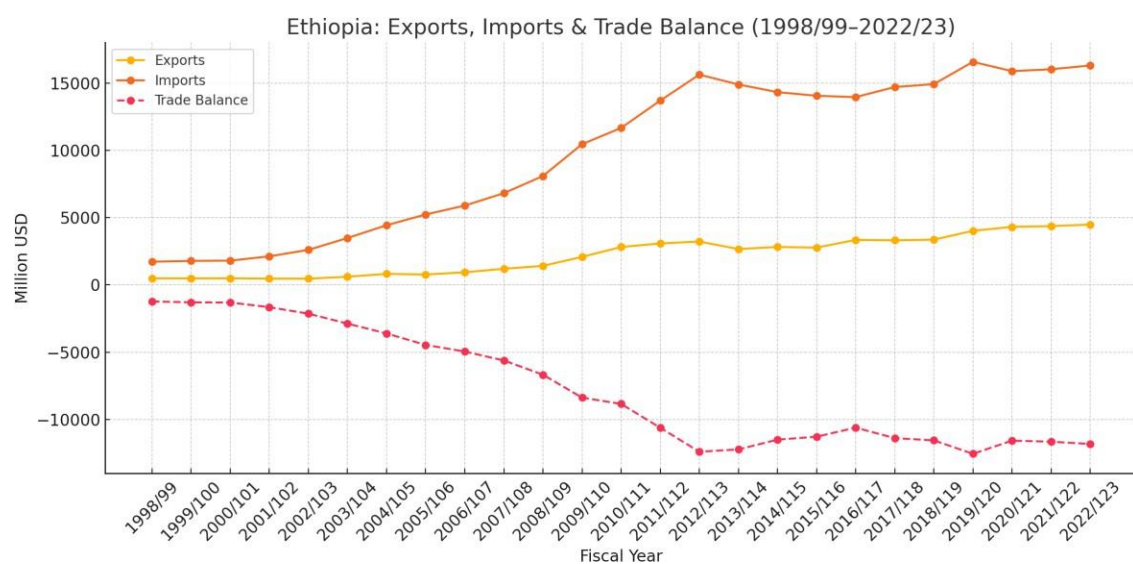
The following table and graph present the trends in Ethiopia's exports, imports, and trade balance from 1998/99 to 2022/23. The data is extracted from Table 3.6 of the National Bank of Ethiopia's Annual Report for 2022/23.

Trade Data Table

Fiscal Year	Exports (Mn USD)	Imports (Mn USD)	Trade Balance (Mn USD)
1998/99	486.6	1,720.0	-1,233.4
1999/100	482.6	1,780.0	-1,297.4
2000/101	488.1	1,800.0	-1,311.9
2001/102	463.4	2,120.0	-1,656.6
2002/103	460.7	2,600.0	-2,139.3
2003/104	602.8	3,480.0	-2,877.2
2004/105	818.6	4,430.0	-3,611.4
2005/106	768.0	5,230.0	-4,462.0
2006/107	936.0	5,890.0	-4,954.0
2007/108	1,194.9	6,812.0	-5,617.1
2008/109	1,411.4	8,085.4	-6,674.0
2009/110	2,078.6	10,452.1	-8,373.5

2010/111	2,814.4	11,660.0	-8,845.6
2011/112	3,077.0	13,690.0	-10,613.0
2012/113	3,220.1	15,620.0	-12,399.9
2013/114	2,664.0	14,890.0	-12,226.0
2014/115	2,818.3	14,320.0	-11,501.7
2015/116	2,768.7	14,050.0	-11,281.3
2016/117	3,341.2	13,950.0	-10,608.8
2017/118	3,311.8	14,700.0	-11,388.2
2018/119	3,360.6	14,914.2	-11,553.6
2019/120	4,017.6	16,571.0	-12,553.4
2020/121	4,307.3	15,880.0	-11,572.7
2021/122	4,367.8	16,020.0	-11,652.2
2022/123	4,480.0	16,300.0	-11,820.0

Graph: Exports, Imports & Trade Balance



Interpretation

Between 1998/99 and 2022/23, Ethiopia's trade sector has shown a persistent and widening trade deficit. Exports grew gradually from under USD 500 million to around USD 4.5 billion over 25 years. However, imports expanded at a much faster pace — from around USD 1.7 billion in 1998/99 to over USD 16 billion in 2022/23.

This growing trade imbalance is reflected in the increasingly negative trade balance, exceeding USD -12 billion in recent years. Imports have been driven by demand for capital goods, fuel, and other essential items for development, while exports remain heavily concentrated in low-value agricultural goods.

To address this imbalance, Ethiopia may need to focus on export diversification, promoting value addition, and gradually substituting key imports through domestic production.